

INTERVIEW | RATAN TATA

"We hope the Nano will get a tax break"

A day before the launch of the car that promises to usher in the second road revolution after Maruti, Tata Group Chairman Ratan Tata spoke to MANAGING EDITOR Shankkar Aiyar. Confident about the success of his dream project, he discussed the politics of protest, the challenges and how Nano will change the way India travels. Excerpts:

Q. Are you happy with the way the car has come out?

A. The guys did a terrific job of packaging. It's an elegant package with no wasted space. The engine performance, in terms of emission and fuel efficiency, is great. Overall, I would say it has come together much better than I had expected.

Q. How long did it take... from the first sketch to the launch?

A. From the first doodles based on the initial thoughts, it would be four years to the launch.

Q. There is concern that it may not be future-proof for emission and safety standards.

A. This car will meet all the

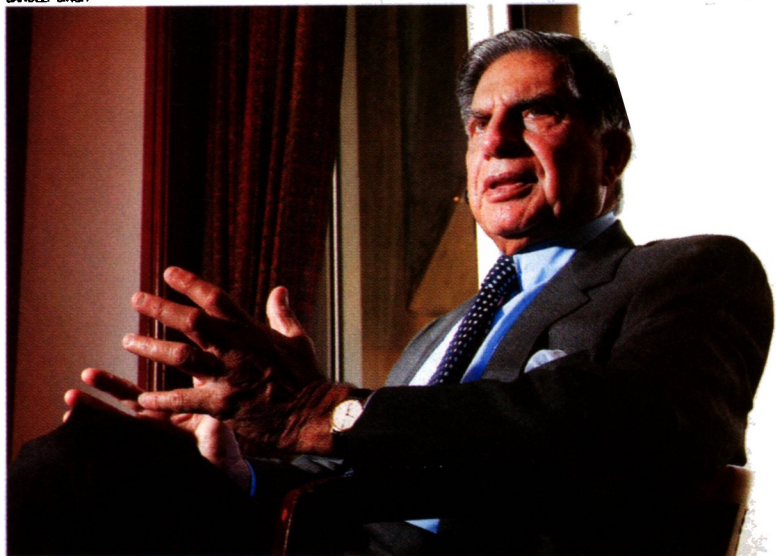
emission standards and safety requirements of the future.

Q. What was the basic thought in innovation, in engineering?

A. If you package something that carries four or five people in a smaller

size, the material costs will come down; it will be lighter; you can use a smaller engine; emissions will be lower and fuel efficiency will be higher. Our people have packaged it so efficiently that it can be a chauff-

BANDEEP SINGH



"Indian engineers have delivered on a goal many believed to be impossible. I want people to recognise their achievement."

the plant) worked on the concept for four years. Indeed the first thoughts centered on a door-less four-seater that was more a quadricycle than a car. The design envisaged the use of plastic weather-proofing of the kind seen in rickshaws and contemplated using new materials. But somewhere down the line, the ideas ran into a conflict with Tata's brief. It was simple: it would seat four, have a low operating cost and meet all safety and emission standards. The team dumped the nascent design and focused on the process of building what would be a car differently.

As they worked on Project X, affectionately referred to as "*chhota baba*", the market environment changed considerably. Product design and innovation cannot happen in a vacuum. It is not just the risk of competitors breaking the queue, there is

also the changing cost structure. For instance, in the last five years, crude prices have shot up—from \$20 (Rs 800) per barrel to \$100 (Rs 4,000)—and so has the cost of steel. With rising fuel and material costs, the need for a light, fuel-efficient car couldn't be over emphasised. Being green was no longer just fashionable cultural liberalism, but made sound economic sense too.

Al along, the competition, including Japanese and Korean giants, ostensibly masters of efficient design and innovative pricing, scoffed at the very proposition of a car that cost a lakh of rupees. Can't be done, they said. Osama Suzuki, president, Suzuki Motors, jokingly speculated that "it would be a three-wheeler or a stepney". Tata, who wears his Indian identity as proudly and promi-

nently as the Titan watch on his wrist, was confident that his team could make it possible. "Barriers to innovation," he said, "were usually in the mind." He believed that there was room at the base price and with the skills of Indians, known for engineering cost-effective solutions, it could be done.

Maruti, which has 210 vendors and over 1,000 sub-vendors, is said to build the 800 at around Rs 1,10,000. So on the face of it, a smaller engine, a lighter build and reengineering could deliver a cheaper car for the Tatas. When Tata invited his core team led by Kant and Girish Wagh on stage at the launch, it was as much a salute to Indian skills as it was a riposte to those who had said it couldn't be done. The Nano could not just change the way India will move, but also move the world to change the way it views Indian capabilities.